

Oxford Cambridge and RSA

Predicted Paper 2 — Moderate

A Level Economics

H460/02 Macroeconomics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

Centre number		Candidate number	
First name(s)			
Last name			

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions in Section A, one question in Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 20 pages.

ADVICE

- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer all the parts of Question 1.

Vietnam's economic transformation

Vietnam has been one of the fastest growing economies in Southeast Asia. In the 2010s, the country experienced an average real GDP growth rate of 6.3% per year, driven by rising consumer expenditure, expanding manufactured exports and substantial foreign direct investment (FDI). Vietnam's manufacturing sector has grown rapidly as multinational companies from Japan, South Korea and the United States have built factories in the country.

In 2022, Vietnam's inflation rate was 3.2%, but it rose to 4.6% in 2023 as global commodity prices increased and the Vietnamese dong depreciated. The country's export price index was 128.5 in 2023 while its import price index was 142.0. Policymakers have expressed concern that continuing imported inflation could reduce the purchasing power of Vietnamese households and harm the country's international competitiveness.

Vietnam has actively sought FDI as a means of promoting economic growth and creating employment. Fig. 1 shows annual FDI inflows (in billions of US dollars) and the annual real GDP growth rate for six Asian economies in 2022.

Fig. 1

Annual FDI inflows (US\$bn) and real GDP growth rate (%) for selected Asian economies, 2022

Country	FDI inflows (US\$ billions)	Real GDP growth rate (%)
Vietnam	17.9	8.0
Indonesia	22.0	5.3
Philippines	9.2	7.6
Thailand	11.2	2.6
Malaysia	16.9	8.7
Cambodia	3.6	5.2

Vietnam's government has increased its spending on education, vocational training and infrastructure with the aim of raising the country's labour productivity. Table 1 shows the unemployment rate and an index of labour productivity (2015 = 100) for six Southeast Asian economies in 2023.

Table 1

Unemployment rate and labour productivity index, selected countries, 2023

Country	Unemployment rate (%)	Labour productivity index (2015 = 100)
Vietnam	2.3	139.2
Indonesia	5.3	124.8
Philippines	4.5	118.7
Thailand	1.0	112.4
Malaysia	3.4	131.6
Cambodia	0.6	108.9

Vietnam's principal export markets include the United States, China and the European Union. Its main export categories are electronic components, textiles and footwear. The rapid growth in FDI has transformed employment opportunities, particularly for young workers in urban areas. However, critics argue that the benefits of FDI have not been evenly distributed. The gap between wages in foreign multinational companies and those in domestic firms has widened, and some rural areas have seen limited improvement in living standards. The Vietnamese government has also faced criticism over environmental standards at some factories owned by multinational companies.

1 (a) Using information from the stimulus material, identify two components of Vietnam's aggregate demand.

Component 1

.....

Component 2

.....

[2]

(b) Using information from the stimulus material, calculate to one decimal place Vietnam's terms of trade in 2023.

[1]

(c) Explain whether the relationship shown in Fig. 1 between FDI inflows and the real GDP growth rate is the expected one.

[3]

(d) Using Table 1, explain the relationship between the unemployment rate and the labour productivity index.

[4]

(e)* Using information from the stimulus material, evaluate whether the rise in inflation is likely to harm Vietnam's economic growth.

[8]

(f)* Using information from the stimulus material, evaluate whether Vietnamese workers are likely to benefit from the increase in foreign direct investment in the country.

[12]

Section B

Answer Question 2 or Question 3.

2* A cut in income tax is often proposed as a policy to stimulate an economy.

Evaluate, with the use of an appropriate diagram(s), whether a cut in income tax will help a government to achieve its macroeconomic policy objectives.

[25]

OR

3* Labour productivity varies significantly between countries.

Evaluate, with the use of an appropriate diagram(s), whether an increase in labour productivity will benefit an economy.

[25]

Question No.

Section C

Answer Question 4 or Question 5.

4* Many governments have used supply-side policies to address unemployment in recent years. Evaluate whether supply-side policies are the most effective way to reduce unemployment.

[25]

OR

5* Central banks use interest rates as a key monetary policy tool to influence economic activity. Evaluate whether low interest rates are an effective way to stimulate economic growth.

[25]

Question No.

END OF QUESTION PAPER

EXTRA ANSWER SPACE

If you need extra space use these lined pages. You must write the question numbers clearly in the margin.